

ESRS for Non-EU Groups

N-ESRS

EFRAG SRB
Public Session

3 June 2026



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BACKGROUND

1. Background

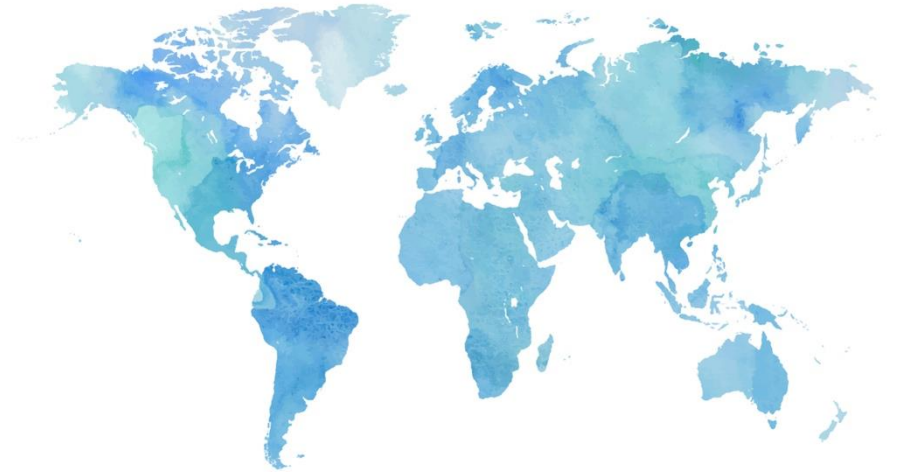
1.1. ESRS for Non-EU Group (N-ESRS)



- Required by art 40(a) of CSRD
- Omnibus I modified the scope but not content



- Financial year 2028, first report due in 2029
- EFRAG technical advice by January 2027
- Consultation on draft ED expected mid-July 2026



Policy objectives of article 40a

- Level-playing field
- Accountability and transparency of non-EU companies on impacts

N-ESRS Content

Starting point: ESRS with exclusion of e.g. risks and opportunities

1. Background

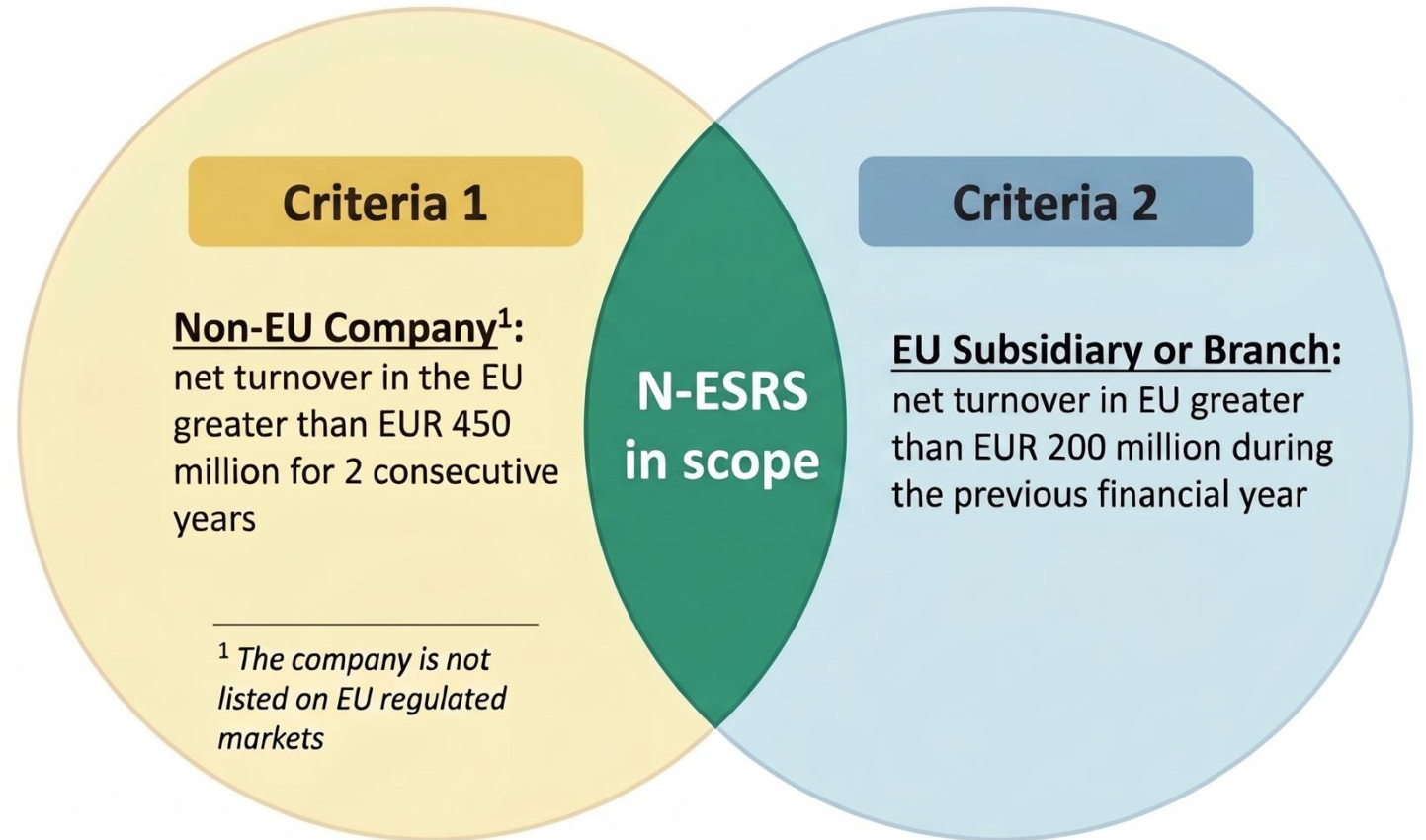
1.2. Companies in N-ESRS scope after Omnibus I - criteria

Thresholds **before** Omnibus I:

- Non-EU company: EUR 150 million turnover (at group level), and
- EU subsidiary or branch: EUR 40 million turnover

Number of employees is **not** considered for N-ESRS scope

Thresholds **after** Omnibus I:



1. Background

1.3. Companies in N-ESRS scope

Range of estimated companies in scope with most companies	Country
350-450	USA
150-200	UK
100-150	Switzerland, Japan
20-50	Cayman Islands, China, Canada, Rep. of Korea
10-20	Brazil, Mexico, Hong Kong, India, Bermuda, Virgin Islands

EFRAG preliminary estimate

- Before Omnibus approx. 10k
- After Omnibus approx. 1,2k
- No official list exists



STANDARD-SETTING APPROACH

2. Standard-Setting Approach

2.1. Disclosure content of non-EU ESRS (1/3)

Article 40a says: “[...] a sustainability report covering the information specified in points (a)(iii) to (a)(v), points (b) to (f) and, where appropriate, point (h) of Article 29a(2), at the group level, or, if not applicable, the individual level, of the third-country undertaking.”

2. Standard-Setting Approach

2.1. Disclosure content of non-EU ESRS (2/3)

2. The information referred to in paragraph 1 shall contain:
 - (a) a brief description of the group's business model and strategy, including:
 - ✗ (i) the resilience of the group's business model and strategy in relation to risks related to sustainability matters;
 - ✗ (ii) the opportunities for the group related to sustainability matters;
 - (iii) the plans of the group, including implementing actions and related financial and investment plans, to ensure that its business model and strategy are compatible with the transition to a sustainable economy and with the limiting of global warming to 1,5 °C in line with the Paris Agreement and the objective of achieving climate neutrality by 2050 as established in Regulation (EU) 2021/1119 and where relevant, the exposure of the group to coal-, oil- and gas-related activities;
 - (iv) how the group's business model and strategy take account of the interests of the group's stakeholders and of the impacts of the group on sustainability matters;
 - (v) how the group's strategy has been implemented with regard to sustainability matters;
 - (b) a description of the time-bound targets related to sustainability matters set by the group, including, where appropriate, absolute greenhouse gas emission reduction targets at least for 2030 and 2050, a description of the progress the group has made towards achieving those targets, and a statement of whether the group's targets related to environmental factors are based on conclusive scientific evidence;
 - (c) a description of the role of the administrative, management and supervisory bodies with regard to sustainability matters, and of their expertise and skills in relation to fulfilling that role or the access such bodies have to such expertise and skills;

2. Standard-Setting Approach

2.1. Disclosure content of non-EU ESRS (3/3)

- (d) a description of the group's policies in relation to sustainability matters;
- (e) information about the existence of incentive schemes linked to sustainability matters which are offered to members of the administrative, management and supervisory bodies;
- (f) a description of:
 - (i) the due diligence process implemented by the group with regard to sustainability matters, and, where applicable, in line with Union requirements on undertakings to conduct a due diligence process;
 - (ii) the principal actual or potential adverse impacts connected with the group's own operations and with its value chain, including its products and services, its business relationships and its supply chain, actions taken to identify and monitor those impacts, and other adverse impacts which the parent undertaking is required to identify pursuant to other Union requirements to conduct a due diligence process;
 - (iii) any actions taken by the group to prevent, mitigate, remediate or bring an end to actual or potential adverse impacts, and the result of such actions;
- ✗ (g) a description of the principal risks to the group related to sustainability matters, including the group's principal dependencies on those matters, and how the group manages those risks;
- (h) indicators relevant to the disclosures referred to in points (a) to (g).

2. Standard-Setting Approach

2.2. Drafting approach and exclusions

Simplified ESRS as basis, removing financial materiality aspects, i.e.:

- risks and opportunities
- financial effects
- resilience
- dependencies



Financial information is per se strictly not excluded, it is needed to provide contextual information **to understand impacts!**

2. Standard-Setting Approach

2.3. High-level comparison of main characteristics

ESRS	N-ESRS
12 standards: 2 cross-cutting + 10 topical	Same as ESRS
Impacts, risks and opportunities	Impacts only
Perimeter of disclosure:	Perimeter of disclosure:
Global	Global and Mixed approach
Includes upstream and downstream value chain	Same as ESRS
Incorporation by reference to other reports	Same as ESRS
Transitional provisions	Same as in ESRS for undertakings reporting for the first time after 2025

2. Standard-Setting Approach

2.4. Overall reporting objective and definition of users

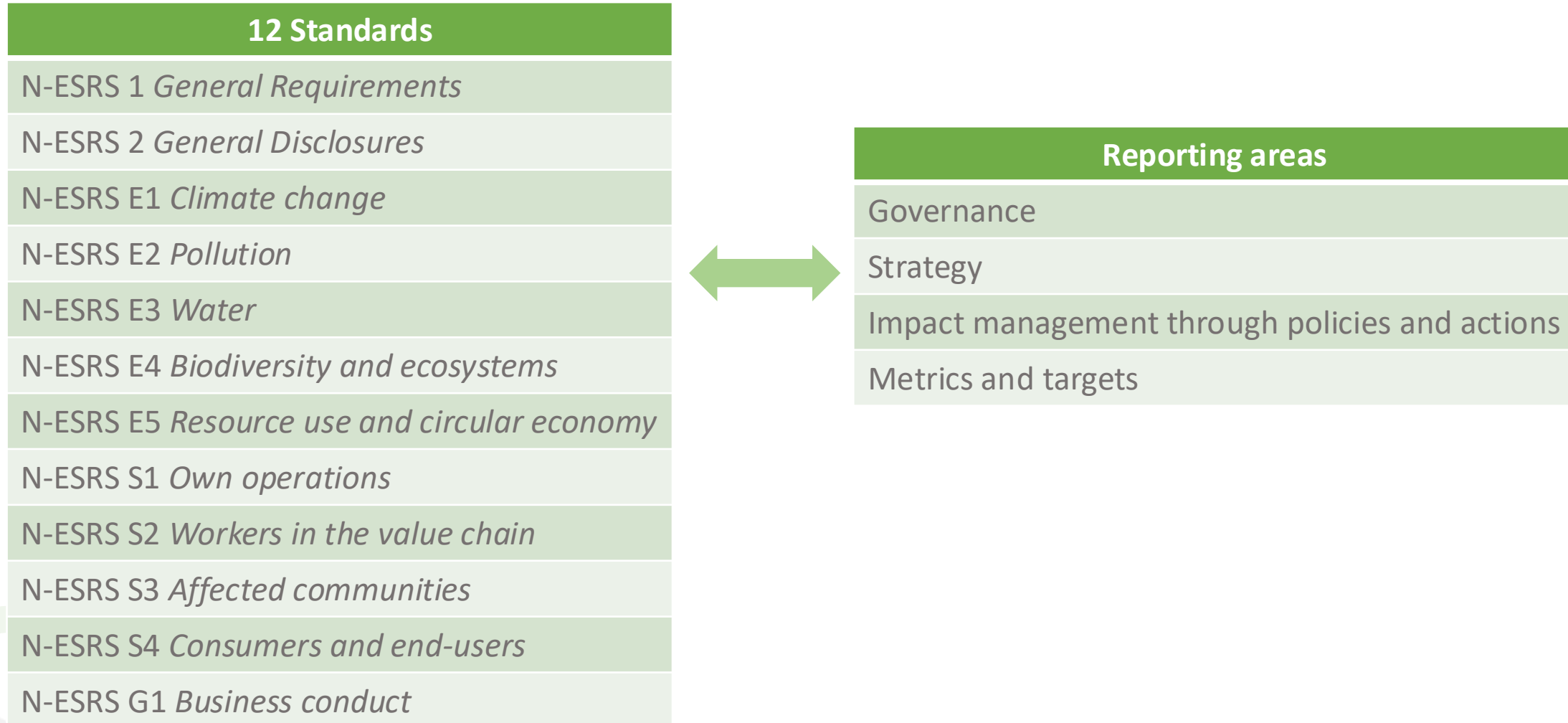
- Fair presentation of material impacts and how they are managed

*The objective of the **sustainability report**, taken as whole, is to present fairly all the undertaking's material **sustainability-related impacts**, and how the undertaking manages them.*

- Same definition of users as in ESRS
 - primary users of general-purpose financial reports
 - other users of general-purpose sustainability reports

2. Standard-Setting Approach

2.5. Topics and reporting areas to be covered



2. Standard-Setting Approach

2.6. Global perimeter with an option to limit impacts for topics other than climate to those that are 'EU-related'

Three options for reporting, if a company is in scope for Article 40a:

Upstream and downstream value chain included in the definition of impacts

No final decision on exact drafting

Global Approach N-ESRS

Impacts are reported at the global level for all topics

Mixed Approach N-ESRS

Climate impacts = global level



Option* to limit the scope to EU-related impacts only on other topics

On the condition that impacts are being managed accordingly (e.g. separate segment, products)

*flexible option by topic

EU-related impacts must include both the following components:

- **Customer based:** impacts arising from products and services assumed to be sold or provided in the EU market
- **Location based:** impacts of undertaking's activities in the EU

Full ESRS (voluntary)

Benefits of applying full ESRS:

Subsidiary exemption:

If the non-EU ultimate parent company applies full ESRS, the subsidiaries of that non-EU company that fall under article 19a or 29a could benefit from subsidiary exemption. But only if the non-EU parent company applies full ESRS.

2. Standard-Setting Approach

2.7. Internationalisation of EU laws and regulations

The simplified ESRS have a strong reliance on EU regulatory references

Objectives of **internationalization** in the N-ESRS is to support feasibility **on EU law** for global undertakings and allow them to **use local laws**.

Three-Layers of Internationalization Approach:

1. **Expanded provisions:** Key technical content embedded directly in standards (e.g. energy recovery formula integrated from EU Waste Framework Directive).
2. **Global alignment:** Use international references where available e.g. ILO, gaps remain.
3. **Local flexibility:** Explicit option to apply local legislation case by case (N-ESRS 1, N-ESRS 2 and topical related guidance)



Outcomes:

Balances **technical robustness with global applicability and global acceptance**

2. Standard-Setting Approach

2.8. Interoperability with IFRS S1 and S2 (1/3)

IFRS report

ESRS 2 / IFRS S1 General Disclosures common to NESRS and IFRS	• Governance • Risk management • Targets
ESRS E1 / IFRS S2 Climate Disclosures common to NESRS and IFRS	• Transition plan • Carbon credits • GHG emissions • GHG emission targets

N-ESRS report

ESRS 2 / IFRS S1 General Disclosures common to NESRS and IFRS	• Governance • Risk management • Targets
ESRS E1 / IFRS S2 Climate Disclosures common to NESRS and IFRS	• Transition plan • Carbon credits • GHG emissions • GHG emission targets

2. Standard-Setting Approach

2.8. Interoperability with IFRS S1 and S2 (2/3)

IFRS report

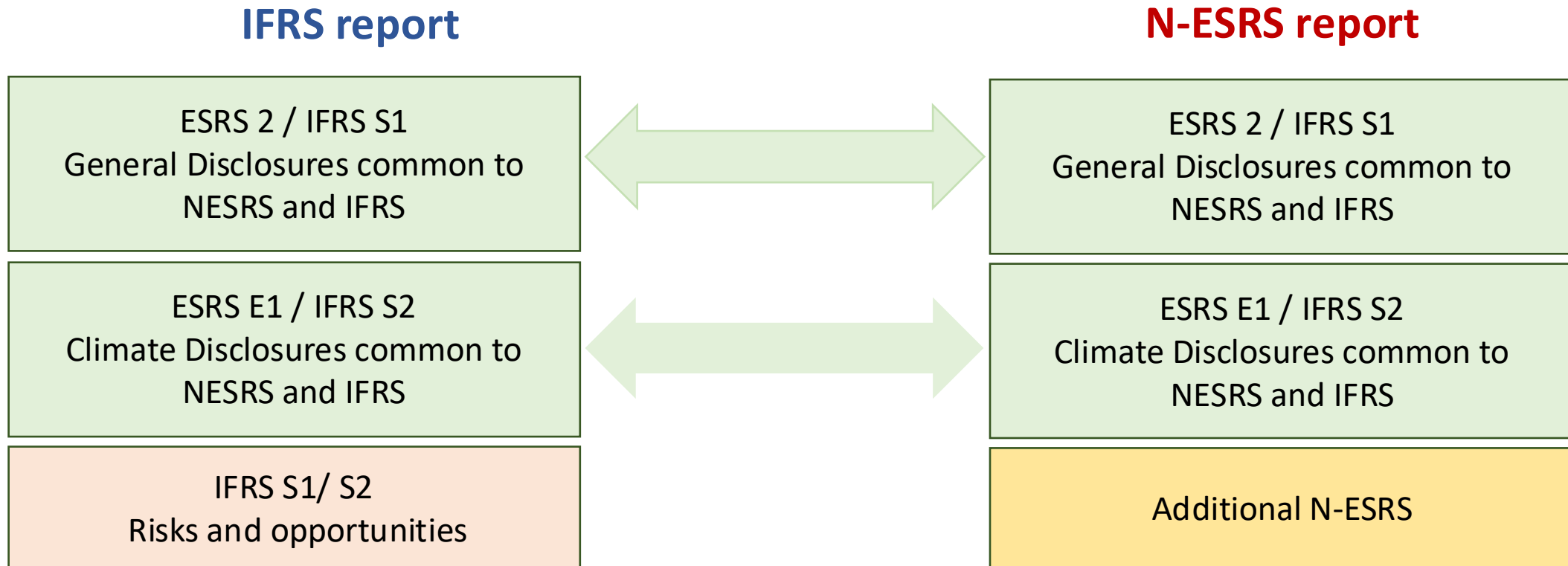
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IFRS S1/ S2 Risks and opportunities	• E1-2 (climate) • E1-3 (climate) • IRO-1

N-ESRS report

ESRS 2 / IFRS S1 General Disclosures common to NESRS and IFRS	• Governance • Risk management • Targets
ESRS E1 / IFRS S2 Climate Disclosures common to NESRS and IFRS	• Transition plan • Carbon credits • GHG emissions • GHG emission targets
Additional N-ESRS	• Energy consumption and mix • Locked-in emissions • Compatibility with 1.5 °C • Biogenic emissions • GHG removals • Undertaking is active in fossil fuel (coal, oil and gas) sector • Etc.

2. Standard-Setting Approach

2.8. Interoperability with IFRS S1 and S2 (3/3)



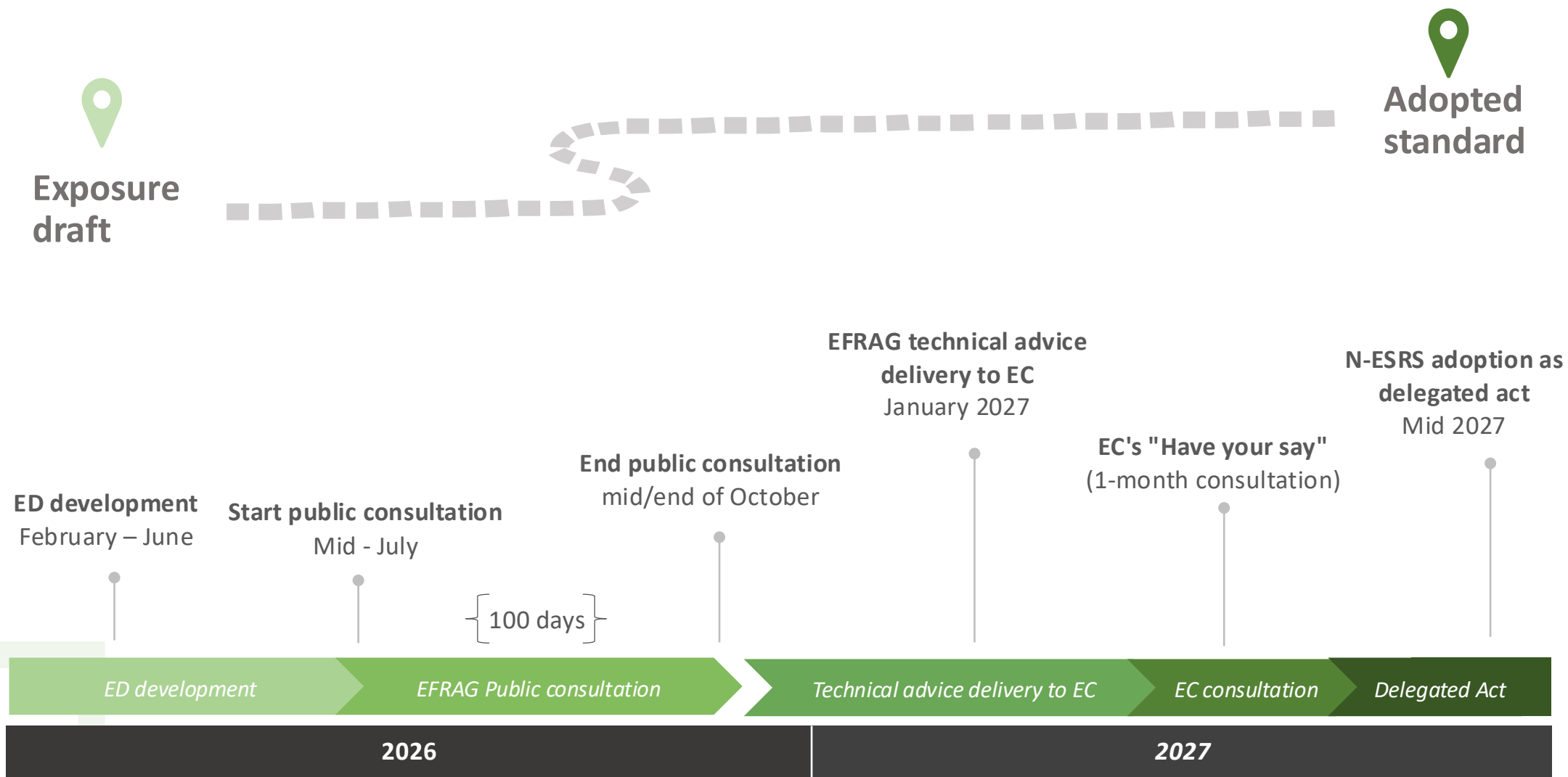
- Green boxes is the same reporting content!
- How to support a seamless compliance with the two sets of standards avoiding double reporting?
- Incorporation by reference to IFRS report is an option!
- Consultation to focus on practical solutions to avoid double reporting!



TIMELINE and STAKEHOLDER ENGAGEMENT

3. Timeline and Stakeholder Engagement

3.1. Due process and high-level project plan



3. Timeline and Stakeholder Engagement

3.2. Consultation Key Topics

EFRAG is seeking input on the following key topics:
(we do not discuss again simplification of ESRS)

- 1) Content of the standards
- 2) Internationalisation of EU laws
- 3) Mixed approach
- 4) Interoperability with IFRS

3. Timeline and Stakeholder Engagement

3.3. Stakeholder Engagement



Educational webinars/22 July
accommodating different time zones



Public consultation



Field test with preparers

early June
Communication campaign

2nd half of July
Field test launch and educational webinars

September
Workshops/jurisdictions (NSS and companies)

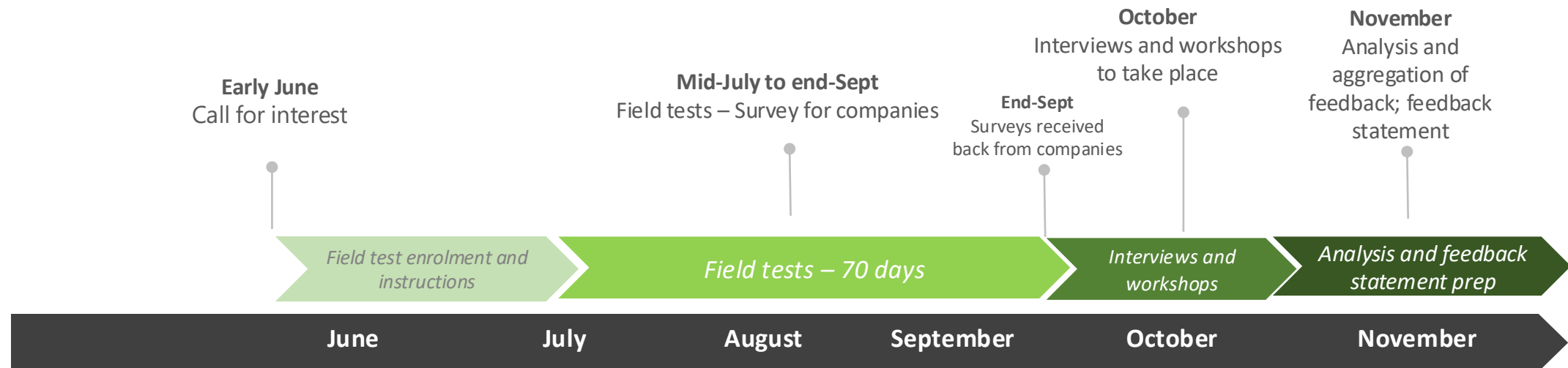
October
Field test interviews and workshops



3. Timeline and Stakeholder Engagement

3.4 Field test – timeline and topics

1. Interoperability
2. Mixed approach
3. Internationalisation of EU references



- Aims to assess the effects of the ESRS amendments for non-EU groups by learning from the undertaking's perspective
- Companies that agree to participate to the field test will simulate the preparation of selected disclosures
- Flexibility in choosing the disclosures to be tested by each preparer
- Balance composition (country/industry) will be sought

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